

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

20230930-DKBUTTERFLY-1, INC. F/K/A BED, BATH & BEYOND INC. v.
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

DECLARATION OF J. LEE HILL

I, J. Lee Hill, declare as follows:

1. I am an associate of the law firm Huth Reynolds LLP (“HR LLP”), which has served as counsel of record for Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. (“Complainant”) since this proceeding was filed.

2. I submit this Declaration in support of Complainant’s Reply to Respondent’s Opposition Brief (the “Reply Brief”) and Motion to File Under Seal Complainant’s Reply to Respondent’s Opposition Brief and Responses to Respondents’ Proposed Findings of Fact (the “Motion”) filed contemporaneously herewith.¹

I. Complainant’s Documents Regarding Reparations Calculations

3. On October 10, 2024, Complainant served Supplemental Objections and Responses to Respondents’ First Set of Interrogatories (the “Supplemental Interrogatory Responses”).

4. In its initial response to Interrogatory No. 1, which asked BBY to “identify all containers by container number about which you complain of a refusal to carry or denial of a booking by Respondents”, BBY initially answered that “Complainant intends to produce in

¹ Unless otherwise indicated, all terms herein take on the same meaning as in the Reply Brief and Motion.

discovery in this action documents and information concerning the containers of Complainant's cargo that form the basis of Complainant's claims for reparations, such as cargo carried by other carriers at higher rates"

5. In its Supplemental Interrogatory Responses to Interrogatory No. 1, BBY supplemented its answer to state "Complainant supplements its previous answer to Interrogatory No. 1 by referring Respondents to Appendices A-1 through A-4 and Appendices B-1 through B-4 of the Expert Report of John D. McCown, dated September 17, 2024, and documents bates-stamped **P-0000810432 [APP-4419]** and **P-0000353819 [APP-4414]**, produced to Respondents in this action."

6. The document contained at bates number P-0000810432 is a spreadsheet produced in this proceeding on August 23, 2024, containing container information selected by former logistics employees of BBY from BBY data sources.

7. Counsel for Respondent used P-0000810432 during the deposition of Richard Cunniff in this proceeding, noting that the metadata showed that the document was created by Paul Pastor. Mr. Cunniff testified about the document that "I believe that the previous document was a document that supplements the Berman records because we did not previously Berman to house all of our import container information; so, therefore, Logistics was able to provide a supplemental report -- I think it's the previous one -- that contained records that were not loaded in or not part of Berman once we fully had imports in the Berman database." (Cunniff Dep. Tr. 98:9-99:1 [APP-297].)

8. The document contained at bates number P-0000353819 is a spreadsheet that was sent as an attachment to an email (produced in this action at bates number P-0000353818) from Paul Pastor to Ian Pinchuk on May 17, 2023. The subject line of the email was "Berman file v3"

and the name of the spreadsheet file at bates number P-0000353819 is identified as “Copy of Copy of Berman_Import 050423 v3.xlsb”.

9. P-0000353819 contains container information data from BBY’s third-party payment processing service, Berman Blake.

10. Both P-0000353819 and P-0000810432 were produced in this proceeding as a part of BBY’s second document production made on October 19, 2023.

11. As indicated in BBY’s Answer and Supplemental Answer to Interrogatory No. 1, P-0000353819 and P-0000810432 together comprise the data showing the “information concerning the containers of Complainant’s cargo that form the basis of Complainant’s claims for reparations, such as cargo carried by other carriers at higher rates”.

12. The Expert Report of John McCown (“McCown Report”) cites to both P-0000353819 and P-0000810432 as Sources Considered (and indeed were the only two documents listed from the productions in this proceeding in the Sources Considered list that were not deposition exhibits), and the two documents, combined, represent the sources of data for Appendices A-1 through A-4, Appendices B-1 through B-4, and Appendix C of the McCown Report.

13. In response to Interrogatory No. 5, which asked Complainant to “Identify all containers by container number about which you complaint of excessive demurrage and/or detention charges” the Supplemental Interrogatory Responses stated “Complainant supplements its previous answer to Interrogatory No. 5 by referring Respondents to Appendix C of the Expert Report of John D. McCown, dated September 17, 2024, and the document bates-stamped P-0000353819, produced to Respondents in this action.”

14. As set forth in Supplemental Interrogatory Response No. 5, P-0000353819, as the basis for Appendix C to the Expert Report of John McCown, contains containers and amounts of detention and demurrage used to calculate BBY's detention and demurrage-related reparations.

15. Supplemental Interrogatory Response No. 3 responded to OOCL's request to "[i]dentify all containers by container number about which you complain that Respondents charged Complainant a premium to carry" by stating "Complainant supplements its previous answer to Interrogatory No. 3 by referring Respondents to the information contained in the spreadsheet attached hereto as Attachment A."

16. **Attachment A to BBY's Supplemental Interrogatory Responses [APP-3359]** contains 6 tabs: 3 for each relevant Shipping Year. "SY 20", "20 But For", "20 Damages", "SY 21", "21 But For", and "21 Damages".

17. The "SY 20" and "SY 21" tabs contain the merged container-level data from P-0000353819 and P-0000810432 filtered by each shipping year—for containers shipped with OOCL on lanes covered by the Service Contracts for which BBY's records contained cost data, determining:

- a. the total sum of the cost of those containers in each year (at the bottom of Column B of each tab), and
- b. isolating the number of containers (and their sizes) on each port pair (found in Columns C through I and N and O).

18. The "20 But For" and "21 But For" tabs then looked to the Service Contracts for each respective Shipping Year to determine the contract cost on relevant port pairs and set forth how much under the respective Service Contracts how much cargo of each size and between each port pair should have cost.

19. The “20 Damages” and “21 Damages” tabs then multiplied the Service Contract cost from the But For tabs by the volume of each type of container tallied in the SY 20 and SY 21 tabs, calculating the total that it *should* have cost to ship those containers.

20. The “20 Damages” and “21 Damages” tabs then subtract the total calculated at Paragraph 19 above (the amount that it *should have* cost) from the amount that the containers *actually* cost as calculated as described in Paragraph 17(a) above, yielding the amount paid by BBBY to OOCL for carriage in excess of what the cargo should have cost under the Service Contracts.

II. Complainant’s Efforts to Meet and Confer with Respondents Regarding Complainant’s Motion to Seal its Reply to Respondents’ Opposition Brief

21. On March 20, 2025, Complainant’s counsel sought in good faith to meet and confer with counsel for Respondents regarding Respondents’ position as to the Motion.

22. In response, Respondents stated that they do not oppose the Motion.

23. To the best of my knowledge, information, and belief, I declare under penalty of perjury that the foregoing is true and correct.

Executed on March 20, 2025.

A handwritten signature in black ink, reading "Lee Hill". The signature is written in a cursive, flowing style. The first name "Lee" is written with a large, looped 'L'. The last name "Hill" is written with a large, looped 'H' and a trailing flourish.

J. Lee Hill

Certificate of Service

I hereby certify that I have this day served the foregoing document upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of the document to their counsel of record listed below:

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Dated: March 20, 2025

/s/ J. Lee Hill

J. Lee Hill

*For Complainant 20230930-DK-Butterfly-I,
Inc., formerly known as Bed Bath & Beyond Inc.*